COMPETITIVE POSITIONING

Learning Outcome

- evaluate the competitive strategy and position of a company

All companies have a competitive strategy, whether intentional or not. An intentional strategy results from company-wide planning, performance measurement, and feedback loops to sharpen the strategy. An unintentional strategy results from various teams within a firm pursuing their own incentives, doing whatever they did in prior years, or following industry or professional norms. An unintentional strategy is rarely the best and often exacerbates communication and coordination problems present at every company, although the approach might perform well in areas such as discovery-oriented research. **Munos (2009)** found evidence of diseconomies of scale in pharmaceutical R&D, with most new drugs discovered by small companies operating in a relatively "unmanaged" way.

Ultimately, an effective competitive strategy is evidenced by a company's track record of value added for its stakeholders, such as economic profits. Its effectiveness can be judged only in hindsight. To evaluate a competitive strategy on a forward-looking basis, an analyst should assess the strategy along three dimensions:

- Does the strategy create a defense against the five industry forces?
- Does the strategy benefit from, or is at least not at odds with, the expected external industry influences identified in the PESTLE analysis?
- Does the company have the resources and capabilities to execute the strategy?

Clearly, the analysis and the answers to these questions are company and industry specific. We can, however, identify three well-known competitive strategies that have worked in a variety of industries, as shown in Exhibit 6: cost leadership, differentiation, and focus. These three generic strategies are based on Michael Porter's research on competition. While companies do tend to have specific variations, generic strategies explain a large percentage of strategies in practice—similar to how many companies' business models are well described using conventional models. A poor situation is for a company to be "stuck in the middle"—not a cost leader, not differentiated, not focused.

Exhibit 6:

Generic Competitive Strategies

	Cost Leadership	Differentiation	Focus
Means of executing strategy	▪ Economies of scale from fixed costs ▪ Favorable access to raw materials ▪ Culture of strict cost control ▪ Aggressive pricing to gain high volume ▪ Low-cost	▪ Investments in advertising, brand, customer service, proprietary distribution channels ▪ Protection using trademarks, copyright, patents ▪ Superior quality, unique features	▪ Proximity to customers and strong understanding of their needs ▪ May incorporate elements of strategy from both cost leadership and differentiation,

	scope	experience ▪ Premium pricing ▪ Integration of services, software, and hardware		Rate Your Confidence
Which of the Five Forces it defends against (why it works)	▪ Threat of new entrants: Capital requirements and scale advantages deter entrants ▪ Bargaining power of customers: Customers can only bring prices down to the costs of the marginal producer, leaving margin for the cost leaders ▪ Industry rivalry: Rivals may not be able to compete on price with cost leaders	▪ Threat of new entrants and of substitutions: Customer loyalty to unique product can deter switching, protect market share ▪ Bargaining power of customers: Customers may be unable to unwilling to comparison shop or switch ▪ Bargaining power of suppliers: The company may have the ability to pass along price increases to customers and/or margin to absorb cost increases	▪ Threat of new entrants and of substitutes: Customer loyalty to unique product can deter switching, protect market share ▪ Bargaining power of customers: Customers may be unable or unwilling to comparison shop or switch	Category **Industry and Competitive Analysis**
Industry appropriateness	▪ Capital intensive ▪ Price-conscious customers ▪ Customers do not value or notice product differences ▪ Minimal innovation in industry	▪ Price is not foremost concern for customers ▪ Customers value distinctiveness ▪ Innovation in industry, with products varying in features and forms	▪ Difficult (or uneconomical) to serve customer group, product, or geography for other players	
Risks to the strategy	▪ Cost inflation, loss of discipline ▪ Technological change that results in loss of cost leadership or market share ▪ Desire for premiumization among customers	▪ Imitation by competitors ▪ Buyers become sophisticated, no longer demand level of service ▪ Pricing premium becomes too high for customers to bear	▪ Larger competitors outcompete on price ▪ The differences in demand between the narrow group and industry as a whole narrow	

		share, as customers value exclusivity	longer demand level of service

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Question Set

1. Manitou Resorts is a 25-room boutique hotel located in a rural mountain area approximately three hours from a major urban center. It provides accommodations, high-end dining options, and an on-site health and wellness spa. Manitou's primary customers are young professional couples in the middle-to-upper-income brackets. The CEO is contemplating several options for expansion, as the resort is frequently at full capacity. Which of the following initiatives would be consistent with Manitou's current competitive strategy?

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   A. The development of 10 stand-alone lakefront cottages to accommodate families of up to six people, providing access to family-related activities such as pools, water sports, and evening entertainment
   B. The addition of conference room facilities to accommodate corporate events that could be priced at a 10%–15% discount to a 150-room franchise hotel approximately 30 minutes from Manitou
   C. Developing a management and reservation system to identify recommendations to referral partners such as golf courses, taxi/shuttle services, or other guest experiences to increase fee revenue

Hide Solution

Solution:

C is correct. Manitou Resorts' current competitive strategy is a focus strategy targeting a specific customer segment: young professionals in middle-to-upper-income brackets located in a nearby city and focused on wellness and relaxation. The other options represent an expansion into new customer segments (family vacations and corporate events), which could be inconsistent with its current customer base. A represents a cost leadership competitive strategy, while B represents a differentiation strategy.

2. Warehouse Club Inc. is considering launching a "private label" brand of non-perishable food products. Based on its current competitive strategy, which of the following is the *most appropriate* rationale to support?

   A. Customers do not notice product differences.
   B. Customers value new product features and forms.
   C. Products can be segmented into regular and premium brands.

Hide Solution

Solution:

A is correct. Warehouse Club Inc.'s current competitive strategy is cost leadership. In a cost leadership strategy, industry appropriateness is determined by capital intensity, price-conscious customers, customers not valuing or noticing product differences, and minimal innovation in the industry. B represents an example of a differentiation strategy. C represents an example of a focus strategy.

3. To defend against the bargaining power of suppliers, customers may be unable or unwilling to comparison shop or switch in which of the following competitive strategies (select all that apply):

___ Focus

Hide Solution

Solution:

Both differentiation and focus. That "customers may be unable or unwilling to comparison shop or switch" is a common feature of both differentiation and focus strategies. In a cost leadership strategy, "customers can only bring prices down to the costs of the marginal producer, leaving margin for the cost leaders."

4. A risk to a differentiation competitive strategy is:

A. limited market share due to exclusivity.
B. larger competitors outcompete on price.
C. technological change that results in loss of market share.

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Solution:

A is correct. Since a differentiation strategy pursues a unique product or service offering, it creates a risk that the strategy may preclude high market share, as customers value exclusivity. B is a risk to a focus strategy where larger competitors outcompete on price. C is a risk to a cost leadership strategy where the technological change results in cost leadership or market share loss.

5. A large online retailer in the USA has begun to offer a "price-matching" guarantee on its website to match any competitor's online price for an identical product, including Iliso Marketplace. Recommend and justify whether Iliso should launch a similar guarantee to protect its market share.

Hide Solution

Solution:

No, Iliso should not launch a similar guarantee. A price-matching guarantee is a strategy pursued by companies with a cost leadership approach by using aggressive pricing to gain volume. Iliso Marketplace Ltd. operates with a differentiation strategy that permits premium pricing if aligned with a strong customer experience. If Iliso maintained its customer experience offering and began to reduce its revenue to match cost leaders, the company would likely decrease its overall profitability.

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